

BOE084: Entrepreneurship Development

Class Notes

VIII Semester

UNIT I: ENTREPRENEURSHIP AND SMALL-SCALE INDUSTRIES (8 Lectures)

Unit at a Glance

- Definition of Entrepreneurship and core elements.
- Growth of SSIs in developing countries & their position vs. large industries.
- Role of SSIs in the national economy (Employment, GDP, Exports).
- Characteristics, Types of SSIs, and MSME Classifications.
- Demand/Resource-based industries, Ancillaries, and Sub-contracting.
- Government policies (IPR 1948 to 1990) and supporting institutions.
- 10 Stages in starting a Small-Scale Industry.

1.1 Entrepreneurship – Definition

Entrepreneurship is the process of identifying, creating, and pursuing business opportunities by organizing resources, taking calculated risks, and innovating to establish and manage a new business venture. It involves the ability to transform ideas into action and generate value in the economic system.

- **Joseph Schumpeter:** Defined entrepreneurship as "creative destruction" where the entrepreneur introduces new products, methods, markets, or organizational structures.
- **Peter Drucker:** Defined it as "systematic innovation"—a purposeful and organized search for changes and opportunities.
- **Key elements:** Innovation, Risk-taking, Organization, Vision, and Value creation.

Question: Define entrepreneurship.

Answer: Entrepreneurship is the process of creating, developing, and managing a new business venture, involving innovation, risk-taking, and the organization of resources to generate economic value. It is the ability to identify business opportunities and transform them into successful enterprises through systematic planning and execution.

1.2 Growth of SSIs in Developing Countries and Their Position Vis-à-vis Large Industries

Small-scale industries (SSIs) have experienced significant growth in developing countries due to their alignment with the socio-economic conditions of these nations.

Growth Drivers:

- **Low Capital Requirement:** Accessible to entrepreneurs in capital-scarce economies.
- **Labour Intensity:** Creates employment opportunities in labour-abundant developing countries.
- **Government Support:** Subsidies, tax exemptions, and preferential procurement.
- **Import Substitution:** Reduces dependency on imports, conserving foreign exchange.
- **Rural Development & Flexibility:** Promotes balanced regional development and adapts quickly to market changes.

Growth in India: Grew from 1.6 lakh units in the 1960s to over 6.3 crore MSMEs today. They contribute ~30% to GDP, ~40% to exports, and employ ~11 crore people.

Parameter	Small-Scale Industries (SSIs)	Large Industries
Capital Investment	Low (up to Rs. 1 crore in plant & machinery)	Very high
Employment	Labour-intensive; more jobs per unit of investment	Capital-intensive; fewer jobs per unit
Technology	Simple to intermediate	Advanced/sophisticated
Management	Owner-managed, personalized (One-man show)	Professional management
Market Coverage	Local/regional	National/international
Flexibility	Highly flexible and adaptive	Relatively rigid
Gestation Period	Short	Long
Production Scale	Small batches, customized	Mass production, standardized
Risk	Lower financial risk	Higher financial risk
Innovation	Product customization	R&D-driven innovation

Question: Explain the growth of small-scale industries in developing countries and discuss their position vis-à-vis large industries.

Answer: The growth of SSIs in developing countries is driven by their low capital requirement, high labour intensity, and ability to utilize local resources, making them ideal for capital-scarce, labour-abundant economies. Governments support them to achieve import substitution and rural development. Vis-à-vis large industries, SSIs require significantly less capital, utilize simpler technology, and are owner-managed. While large industries focus on mass production for national/international markets with high financial risk, SSIs are highly flexible, cater to local markets, have a shorter gestation period, and often serve as ancillary suppliers to large industries, creating a complementary relationship.

1.3 Role of SSIs in the National Economy

SSIs play a vital role in the national economy through 10 key contributions:

1. **Employment Generation:** Generate jobs at a rate 5x higher than large-scale industries per unit of capital.
2. **Contribution to GDP:** Account for ~40% of the manufacturing output.
3. **Export Promotion:** Contribute ~40% of total exports.
4. **Mobilization of Resources:** Tap into idle savings and entrepreneurial skills in rural/semi-urban areas.

5. **Equitable Distribution of Income:** Prevent wealth concentration by distributing income widely.
6. **Regional Dispersal of Industries:** Reduce overcrowding in cities by establishing units in remote areas.
7. **Indigenization:** Promote indigenous technology and materials.
8. **Support to Large Industries:** Act as ancillary units supplying parts and components.
9. **Better Industrial Relations:** Closer employer-employee ties result in fewer strikes.
10. **Innovation and Technology Development:** Testbeds for adapting innovations locally.

Question: State the role of small-scale industries in the national economy.

Answer: Small-scale industries play a crucial role in the national economy through massive employment generation (creating 5x more jobs per unit of capital than large industries), contributing approximately 40% to both manufacturing output and total exports, ensuring equitable distribution of income, promoting regional dispersal of industries, and supporting large industries as ancillary suppliers.

1.4 Characteristics and Types of SSIs

Characteristics:

- **Ownership:** Sole proprietorship or partnership.
- **Management:** Personalized, often a "one-man show."
- **Area of Operation:** Localised to regional demand.
- **Technology:** Labour-intensive.
- **Gestation Period:** Short.
- **Flexibility:** Highly responsive to market changes.
- **Resource Utilization:** Local/indigenous resources.
- **Dispersal:** Wide geographic territory.
- **Limited Scale:** Small batch production.

Question: Mention any two characteristics of small-scale industries.

Answer: (i) **Labour-Intensive Technology:** SSIs are fairly labour-intensive with comparatively smaller capital investment. (ii) **Personalized Management:** They are typically managed as a "one-man show" where the owner is directly involved in all operations.

Types of Small-Scale Industries:

1. **Small-Scale Industries:** Investment in plant & machinery $\leq$ Rs. 1 crore.
2. **Ancillary Industries:** Supply $\geq$ 30% to parent unit; investment $\leq$ Rs. 1 crore.
3. **Tiny Units:** Investment $\leq$ Rs. 25 lakhs.

4. **SSSE (Small-Scale Service Establishments):** Located in rural/small towns (population < 50,000); investment ≤ Rs. 25 lakhs.

5. **Household Industries:** < 300 sq.ft space, < 1 KW power, < 5 workers, no pollution.

MSME Classification (MSMED Act, 2006)		
Category	Manufacturing (Investment)	Service (Investment)
Micro	Up to Rs. 25 lakh	Up to Rs. 10 lakh
Small	Rs. 25 lakh – Rs. 5 crore	Rs. 10 lakh – Rs. 2 crore
Medium	Rs. 5 crore – Rs. 10 crore	Rs. 2 crore – Rs. 5 crore

1.5 Demand-Based and Resource-Based Industries; Ancillaries and Sub-Contract Types

- **Demand-Based Industries:** Market-driven; located near consumers (e.g., food processing, garments).
- **Resource-Based Industries:** Raw-material driven; located near natural resources (e.g., rice mills, stone crushing, furniture).
- **Ancillary Industries:** Manufacture parts/components for a larger "parent" unit, supplying at least 30% of their production to them.
- **Sub-Contracting:** A large firm assigns production or service work to a small unit. Includes industrial (manufacturing components) and commercial (packaging/services) sub-contracting. Benefits both by reducing costs and guaranteeing orders.

1.6 Government Policy for SSIs

Five key Industrial Policy Resolutions (IPRs):

- **IPR 1948:** Focus on *protection*; aimed to solve problems of raw materials, capital, and labour.
- **IPR 1956:** 128 items reserved exclusively for the SSI sector; aimed to make the decentralised sector self-supporting.
- **IPR 1977:** Introduced 3-tier classification (cottage/household, tiny sector, and SSIs).
- **IPR 1980:** Raised investment ceilings; introduced "nucleus plants" concept for backward districts.
- **IPR 1990:** Raised ceiling to Rs. 60 lakhs for SSIs; reserved 836 items. Established SIDBI. Emphasized EDP training for women and youth.

Key Institutions: SIDBI, SIDO, NSIC, DIC, NABARD, KVIC.

1.7 Stages in Starting a Small-Scale Industry

Starting an SSI involves 10 sequential stages:

1. **Idea Generation:** Identifying opportunities via market trends and needs.
2. **Screening and Selection:** Using SWOT analysis to evaluate the best idea.
3. **Project Formulation:** Structuring the project plan.

4. **Preparation of Project Report:** Documenting technical, financial, and marketing aspects.
5. **Registration and Licensing:** Registering with DIC / Udyam portal.
6. **Arrangement of Finance:** Securing bank loans, subsidies, or savings.
7. **Selection of Location and Setting Up:** Establishing infrastructure.
8. **Procurement of Raw Materials and Recruitment:** Sourcing inputs and hiring labour.
9. **Commencement of Production:** Trial and regular production runs.
10. **Marketing and Sales:** Selling products in target markets.

Question: Describe the stages involved in starting a small-scale industry.

Answer: Starting a small-scale industry involves a step-by-step process beginning with (1) Idea Generation to identify business opportunities, followed by (2) Screening and Selection using SWOT analysis. The entrepreneur then moves to (3) Project Formulation and (4) Preparation of a detailed Project Report covering financial and technical viability. This is followed by (5) Registration and Licensing with appropriate authorities (like DIC) and (6) Arrangement of Finance through banks or personal funds. The physical execution involves (7) Selection of Location and Setting Up infrastructure, (8) Procurement of Raw Materials and Recruitment of staff, (9) Commencement of trial and regular Production, and finally (10) Marketing and Sales of the finished goods.

UNIT II: PROJECT IDENTIFICATION AND EVALUATION (8 Lectures)

Unit at a Glance

- Project Identification and 5 types of Viability Assessments.
- 8 Stages of Project Formulation.
- Project Financing (Internal/External sources).
- Field Study & 17 contents of a Detailed Project Report (DPR).
- Demand Analysis & Material Balance ($\text{Input} = \text{Output} + \text{Waste}$).
- Project Evaluation Techniques: BCA, DCF, IRR, NPV.

2.1 Project Identification

Project identification is the first step in the project cycle where an entrepreneur searches for viable and profitable business ideas.

10 Sources of Ideas: Customer needs, market trends, substitute products, trade magazines, government publications, success stories, competitor products, expert advice, import/export data, and local resources.

Methods: Market Survey, Resource Survey, Technology Assessment, Industry Analysis.

Question Segment: Explain project identification.

Answer: Project identification is the initial phase of the entrepreneurship cycle where an individual systematically searches for and identifies viable, feasible, and profitable business opportunities. It involves scanning the business environment to discover ideas from sources such as unfulfilled customer needs, emerging market trends, scope for substitute products, government publications, trade journals, and competitor analysis. The identified ideas are then subjected to preliminary screening using market surveys and resource assessments to select the most promising project for detailed formulation.

2.2 Assessment of Viability

Project viability is the determination of whether a proposed project can be practically and profitably implemented.

- **Technical Viability:** Technology, machinery, infrastructure.
- **Economic Viability:** Cost-benefit, break-even point.
- **Financial Viability:** Cash flows, funds availability, financial ratios.
- **Market Viability:** Demand-supply gap, competition.
- **Legal Viability:** Regulatory compliance, environmental clearances.

Tools: SWOT Analysis, Break-Even Analysis, Sensitivity Analysis.

Break-Even Point (BEP) = $\text{Fixed Cost} \div (\text{Selling Price per unit} - \text{Variable Cost per unit})$

Question: What is meant by project viability?

Answer: Project viability refers to the comprehensive assessment of whether a proposed project is technically feasible, economically sound, financially sustainable, legally compliant, and commercially profitable. It determines if the project can be successfully implemented and sustained over its intended lifespan.

Question Segment: Explain assessment of viability. Also, discuss the importance of project formulation.

Answer: Assessment of viability involves rigorously testing the identified project idea across multiple domains: Technical (technology and infrastructure availability), Financial (adequacy of funds and projected returns), Market (demand and competition), and Economic (cost-benefit and break-even analysis). It ensures the project will not fail due to fundamental flaws.

Importance of Project Formulation: Project formulation is crucial as it transforms an abstract idea into a concrete, structured operational plan. It acts as a roadmap dividing the development into 8 distinct stages (General info, Project description, Market potential, Capital costs, Working capital, Financial aspects, Economic variables, and Implementation). It prevents arbitrary decision-making, helps in accurately estimating capital requirements, uncovers hidden risks, and provides the essential documentation required by banks and investors to approve financing.

2.3 Project Formulation

Project formulation divides project development into 8 sequential stages (as per Gupta):

1. General Information (promoter bio-data, industry profile)
2. Project Description (site, technology)
3. Market Potential (demand, pricing)
4. Capital Costs and Sources of Finance
5. Working Capital Assessment
6. Other Financial Aspects (profitability, BEP)
7. Economic and Social Variables (employment, environment)
8. Project Implementation schedule

2.4 & 2.5 Project Evaluation and Financing

Evaluation: Uses techniques like BCA, DCF, IRR, and NPV to assess profitability (detailed below).

Financing Sources:

- **Internal:** Personal savings, retained earnings.
- **External Institutional:** Banks, SIDBI, NABARD, SFCs.
- **Government Schemes:** PMEGP, MUDRA, Stand-Up India, CGTMSE.
- **Other:** Venture Capital, Angel investors, Crowdfunding.

2.6 Field Study and Collection of Information

Field study validates project assumptions. **Objectives** include assessing actual market demand, raw material costs, and customer preferences. It relies on **Primary Data** (surveys, interviews, test marketing) and **Secondary Data** (government reports, census, trade journals).

2.7 Preparation of Project Report

A comprehensive project report contains 17 points:

1. General Information
2. Promoter Details
3. Location
4. Land & Building
5. Plant & Machinery
6. Production Process
7. Utilities
8. Transport & Communication
9. Raw Materials
10. Manpower
11. Products
12. Market
13. Working Capital Requirements
14. Requirement of Funds
15. Cost of Production & Profitability
16. Break-Even Analysis
17. Schedule of Implementation

2.8 Demand Analysis & 2.9 Material Balance

Demand Analysis Steps: Define product -> Identify market -> Collect data -> Analyze trends -> Forecast future demand (using Trend Projection, Delphi method, Regression, etc.).

Material Balance Principle: Based on conservation of mass.

$$\text{Input Material} = \text{Output Product} + \text{Waste/By-products} + \text{Losses}$$

Example: 100kg wheat entering a flour mill = 72kg flour + 20kg bran + 8kg losses.

Output Method: Estimates capacity based on installed capacity, working hours, and utilization rate.

2.10 Benefit-Cost Analysis (BCA)

Evaluates if a project is economically worthwhile by comparing present value of benefits to costs.

$$\text{BCR} = \text{Present Value of Benefits} \div \text{Present Value of Costs}$$

- **Decision Rule:** If $\text{BCR} > 1$, accept. If $\text{BCR} < 1$, reject.

Example: Benefits = Rs. 15,00,000; Costs = Rs. 10,00,000. $\text{BCR} = 1.5$ (Accept).

2.11 Discounted Cash Flow (DCF) Method

Based on the Time Value of Money principle (money today is worth more than tomorrow).

$$PV = FV / (1 + r)^n$$

$$DCF = \sum [C_t / (1 + r)^t]$$

Example: Rs. 10,000 received after 3 years at 10% discount rate: $PV = 10,000 / (1.1)^3 = \text{Rs. } 7,513.15$.

2.12 Internal Rate of Return (IRR)

The discount rate at which NPV equals zero.

$$NPV = \sum [C_t / (1 + IRR)^t] - C_0 = 0$$

- **Decision Rule:** If $IRR > \text{Cost of Capital}$, accept.

Example: Rs. 1,00,000 investment generating Rs. 30,000/year for 5 years. By interpolation, $IRR \approx 15.27\%$. If Cost of Capital is 12%, accept.

2.13 Net Present Value (NPV)

The difference between the present value of cash inflows and outflows over a project's lifetime.

$$NPV = \sum [C_t / (1 + r)^t] - C_0$$

Where: C_t = Cash inflow at time t | r = Discount rate | C_0 = Initial Investment

- **If $NPV > 0$:** Project is profitable → Accept.
- **If $NPV = 0$:** Project just meets required return → Indifferent.
- **If $NPV < 0$:** Project is not profitable → Reject.
- **Ranking multiple projects:** Choose the one with the *highest positive NPV*.

Detailed Numerical Example:

Initial Investment (C_0) = Rs. 1,00,000 | Discount Rate (r) = 10% per annum

Year (t)	Cash Inflow (Ct) (Rs.)	Discount Factor [1/(1.1)^t]	Present Value (PV) (Rs.)
1	30,000	0.9091	27,273
2	35,000	0.8264	28,926
3	40,000	0.7513	30,053
4	45,000	0.6830	30,735
Total	1,50,000	—	1,16,987

$NPV = \text{Rs. } 1,16,987 - \text{Rs. } 1,00,000 = \text{Rs. } +16,987$

→ Since $NPV > 0$, the project is ACCEPTED ✓

Question: Define Net Present Value (NPV).

Answer: Net Present Value (NPV) is a capital budgeting technique that calculates the difference between the present value of all future cash inflows and the initial investment cost of a project. A positive NPV indicates the project will add value and should be accepted.

Question: Discuss any two project evaluation techniques among Benefit-Cost Analysis, Discounted Cash Flow, Internal Rate of Return, and Net Present Value.

Answer: (Students may select any two. Below is the discussion for NPV and IRR)

1. Net Present Value (NPV): NPV is a Discounted Cash Flow technique that determines the net value added by a project. It is calculated by discounting all future cash inflows to their present value using the firm's cost of capital, and subtracting the initial investment.

Formula: $NPV = \sum [C_t / (1+r)^t] - C_0$

Decision Rule: Accept the project if $NPV > 0$. For example, if a project costs Rs. 1,00,000 and the present value of its future inflows at a 10% discount rate is Rs. 1,16,987, the NPV is Rs. 16,987. Since it is positive, the project is accepted.

2. Internal Rate of Return (IRR): IRR is the specific discount rate that makes the NPV of a project exactly zero. It represents the actual annualized rate of return the project is expected to generate.

Formula: $\sum [C_t / (1+IRR)^t] - C_0 = 0$

Decision Rule: Accept the project if the IRR is greater than the company's cost of capital. For instance, if a project's calculated IRR via interpolation is 15.27% and the required cost of capital is 12%, the project is profitable and should be accepted.

Summary: Comparison of Project Evaluation Techniques

Technique	What it Measures	Formula	Decision Rule
NPV (Net Present Value)	Net value added by project	$NPV = \sum [C_t / (1+r)^t] - C_0$	$NPV > 0 \rightarrow \text{Accept}$
IRR (Internal Rate of Return)	Rate of return of the project	Rate where $NPV = 0$	$IRR > \text{Cost of Capital} \rightarrow \text{Accept}$
BCR (Benefit-Cost Ratio)	Ratio of benefits to costs	$PV \text{ of Benefits} \div PV \text{ of Costs}$	$BCR > 1 \rightarrow \text{Accept}$
Payback Period	Time to recover initial investment	$\text{Initial Investment} \div \text{Annual Cash Flow}$	Shorter period preferred
PI (Profitability Index)	Profitability per unit invested	$PV \text{ of Inflows} \div \text{Initial Investment}$	$PI > 1 \rightarrow \text{Accept}$

Term	Definition
Entrepreneur	A person who identifies business opportunities and takes calculated risks to establish a new venture.
SSI	Small-Scale Industry with investment in plant & machinery up to Rs. 1 crore.
Ancillary Industry	An SSI supplying at least 30% of its production/services to a larger parent unit.
SWOT	Strengths, Weaknesses, Opportunities, Threats analysis used for project screening.
NPV	Net Present Value; present value of cash inflows minus initial investment.
IRR	Internal Rate of Return; the discount rate at which NPV exactly equals zero.
BCR	Benefit-Cost Ratio; ratio of present value of total benefits to total costs.
DCF	Discounted Cash Flow; technique to find the present value of future cash flows.
BEP	Break-Even Point; the production level where total revenue exactly equals total cost.
SIDBI	Small Industries Development Bank of India, an apex body for SSI credit flow.
MSME	Micro, Small and Medium Enterprises classification under the MSMED Act, 2006.